Exista - Exista Sub Group (Kaupthing Luxembourg)

KAUPTHING BANK

Exposure

Loans	35.37
Unused	0.00
Equity	n/a
Bonds	n/a
Derivat.	n/a
Total	**35.37**

Exista sub group -being a part within Bakkabreadur Group- was founded in June 2001 by a group of Icelandic Savings Banks and Kaupthing Bank hf.; in December 2002 Bakkabraedur became the majority shareholder of the company alongside the founding companies. Exista's business model is effectively based on utilising income from cash-generating businesses to support highly selective investment activities. In 2007, Exista successfully converted from a pure investment company to a financial services company with operations in the areas of insurance and asset financing. The switch is supporting the diversification in income streams as well as the direct generation of cash flows.

Up to now KBLUX arranged and syndicated two deals in favour of Exista:

1. Exista B.V.: in 09/2005 a EUR 150mn Secured Syndicated Loan Facility, with an own commitment of EUR 29mn. Maturity in 09/2008 (bullet).
2. Exista hf.: in 11/2006 a DKK 300mn Syndicated Term Loan Facility, with an own commitment of DKK 47.5mn (EUR 6.37mn). Maturity in 11/2009 (bullet).

Collateral & Guarantees

1+2. First priority pledge of shares in Kaupthing Bank hf.
2. Guarantee given by Exista B.V.

1+2. Security Cover Ratio 150% (pledged shares to loan); in case of non compliance, borrowers are contractually obliged to deliver additional shares.

Financial Performance

Interim Financial Statements 06/2008 (in EUR mn)

Turnover	105.7	EBITDA	24.4
Total assets	6,924.7	Curr. Assets	n/a
Equity	2,284.2	Equity ratio	33.0%*

(*w/o taking into account goodwill EUR 341.4 mn)

Due to business nature, financial performance was significantly impacted by challenging market environment. Mainly due to revaluation of shares (EUR -237.2mn) and substantially lowered income from associated shares (c. EUR -482.9mn; compared to 06/2007), Exista had to report a net loss of EUR 82.2mn for the period under review

Risk Factors

The financial performance of the group is intensely exposed to the (investment) market development and might be affected further; the EUR 150mn syndicated transaction due for repayment in September 2008 will not be refinanced but repaid.